

4.4

Trade policies and negotiations

Explain:

- Protectionism
- Economic integration through free trade areas, customs unions, monetary union, economic union

Explain, with the aid of a diagram:

- The impact of tariffs and quotas on trade creation and trade diversion

Evaluate:

- Advantages and disadvantages of protectionism and free trade
- The role of the World Trade Organisation (WTO) in promoting free trade